GradientCIO

FIXED INCOME PORTFOLIO CONSTRUCTION

Northstar Fixed Income Portfolio

Portfolio construction review · prepared for the Investment Committee

AS OF
2026-06-30

TOTAL NAV
$1,000.0M

FIXED-INCOME WEIGHT
28.0%

POLICY BENCHMARK
Northstar Aggregate Bond Index

01 Executive Decision

Shift 3.0pp from core-plus credit to core bonds

RECOMMENDATION

We recommend shifting 3.0 percentage points of the fixed-income sleeve from core-plus credit to core government and investment-grade bonds while retaining the 28.0% total-fund allocation S3 S4. Committee action requested: approve the target structure and a two-stage implementation subject to benchmark and liquidity checks S3 S8.

FIXED-INCOME WEIGHT	ACTIVE WEIGHT	RELATIVE RETURN	LIQUID SHARE
28.0%	0.0pp	+0.4pp	96.0%
Policy target 28.0% S3	Total-fund target S3	Trailing 1Y versus benchmark S5	Daily to weekly S3

Recommendation and action requested

We recommend a 3.0 percentage-point shift from core-plus credit to core government and investment-grade bonds. Committee action requested: approve the target and staged implementation S3 S4 S8.

DECISION SUMMARY

DECISION ELEMENT	PROPOSED ACTION	EVIDENCE	STATUS
Total allocation	Hold at 28.0%	S3	Compliant
Core-plus credit	Reduce from 10.0% to 7.0% of total fund	S3 S4	Proposed
Core government / IG	Increase from 14.0% to 17.0%	S3 S4	Proposed

Conditions and limits

Implementation requires confirmation of security-level duration and transaction costs, which are not available in the connector evidence S8.

Key judgment — Credit shift

Observation: The proposal moves 3.0pp from core-plus credit to core government and investment-grade bonds S1. Why it matters: It lowers credit spread risk while keeping the fixed-income weight unchanged. Uncertainty: Security-level duration and transaction costs are not yet confirmed. What would change the view: Confirmed costs above the expected yield give-up.

Key judgment — Sleeve size

Observation: Fixed income is 28.0% of total NAV S2. Why it matters: The shift is sized against this sleeve, not the total fund. Uncertainty: The weight will move with market values before implementation. What would change the view: A drift of more than 1pp before funding.

Key judgment — Liquidity

Observation: 96.0% of the sleeve is liquid within the policy window S3. Why it matters: The shift can be implemented without breaching liquidity limits. Uncertainty: Liquidity tiers use manager-reported terms. What would change the view: A manager imposing new redemption terms.

02 Mandate, Benchmark and Data Basis

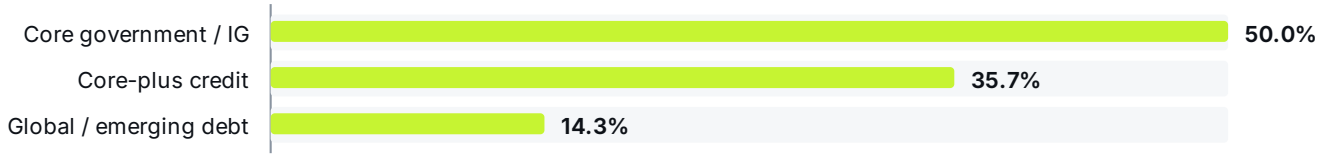
Portfolio	**Northstar Total Fund** S2
Mandate	**Capital preservation, income and diversification** S8
Benchmark	**Northstar Aggregate Bond Index** S5
Horizon	**5 years** S7
Return basis	**Net** S5
Data scope	**Illustrative sample data** S1 S1

GOVERNED FRAMEWORK

AREA	OBJECTIVE OR LIMIT	OBSERVED	STATUS	SOURCE
Fixed income	23.0%–33.0%	28.0%	Compliant	S3
Volatility	At or below 7.0%	5.4%	Compliant	S3 S5
Below-investment-grade	At or below 8.0% of total fund	6.0%	Near limit	S3 S4

03 Current Fixed Income Portfolio

FIXED-INCOME ALLOCATION



CURRENT SLEEVE

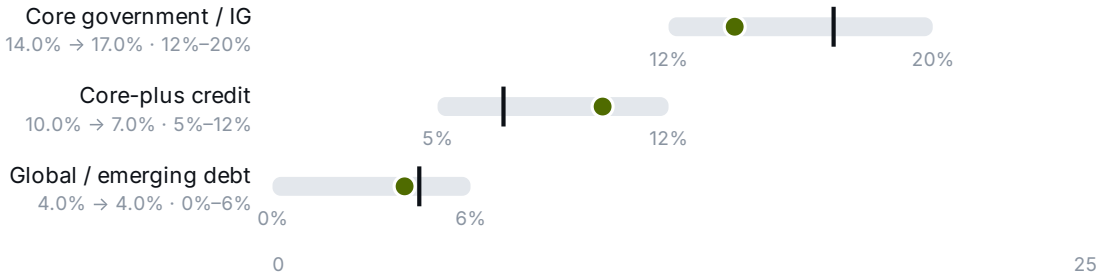
SEGMENT / EXPOSURE	VALUE	% PORTFOLIO	% FIXED INCOME	CURRENCY	AS OF
Core government / IG	$140.0M	14.0%	50.0%	USD	2026-06-30 S4
Core-plus credit	$100.0M	10.0%	35.7%	USD	2026-06-30 S4
Global / emerging debt	$40.0M	4.0%	14.3%	Mixed	2026-06-30 S4

Exposure classifications are shown as returned and are not remapped to policy-tree labels S2 S4.

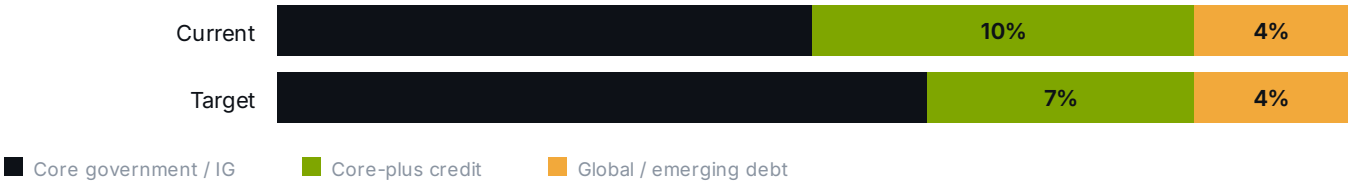
04 Target Portfolio Structure

The proposed mix reduces concentrated risk while preserving mandate exposure

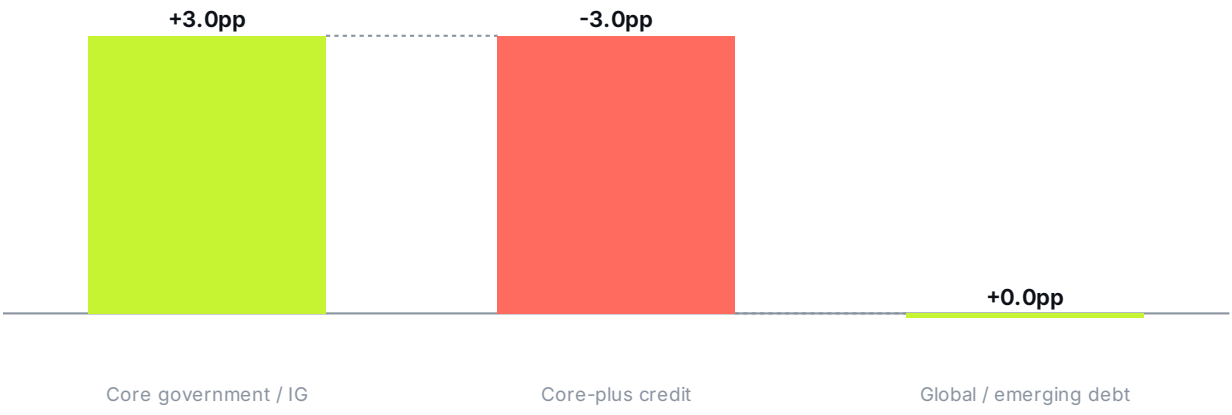
CURRENT WEIGHT VERSUS POLICY RANGE



CURRENT AND TARGET MIX



TARGET ALLOCATION CHANGES (PERCENTAGE POINTS)



CURRENT VERSUS TARGET

SEGMENT	CURRENT	TARGET	CHANGE	RANGE / CONSTRAINT	RATIONALE
Core government / IG	14.0%	17.0%	+3.0pp	12.0%–20.0%	Increase benchmark-aligned ballast S3 S8
Core-plus credit	10.0%	7.0%	-3.0pp	5.0%–12.0%	Reduce credit concentration S3 S4 S6
Global / emerging debt	4.0%	4.0%	0.0pp	0.0%–6.0%	Maintain diversified role S3 S7

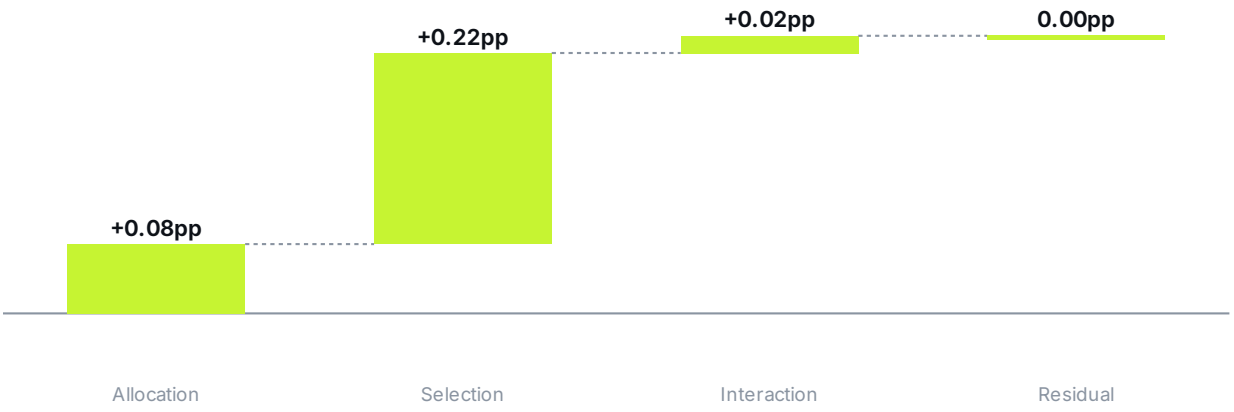
Analysis — Why this target

Observation: The target shifts 3.0 percentage points from core-plus credit to government and investment-grade bonds S3 S4. Why it matters: The change directly reduces concentrated credit exposure. Uncertainty: Duration, cost, CMA, regime and manager coverage remain incomplete S8. What would change the view: Completed records showing higher duration or transition costs.

The target is a committee proposal and is not a saved portfolio change S3 S8.

05 Historical Performance and Attribution

GOVERNED ATTRIBUTION EFFECTS



Returned attribution effects; residual is shown explicitly S5.

STANDARD PERIODS

PERIOD	PORTFOLIO / SLEEVE	BENCHMARK	EXCESS	COVERAGE
1Y fixed-income sleeve	5.1%	4.7%	+0.4pp	Complete S5
3Y fixed-income sleeve (ann.)	3.4%	3.1%	+0.3pp	Complete S5
5Y fixed-income sleeve (ann.)	1.8%	1.9%	-0.1pp	Complete S5

ATTRIBUTION EFFECTS

EFFECT	CONTRIBUTION	SOURCE
Allocation	+0.08pp	S5
Selection	+0.22pp	S5
Interaction	+0.02pp	S5
Residual	0.00pp	S5

Governed attribution method and reconciliation metadata follow S5.

Method	**Brinson-Fachler** S5
Linking	**Symmetric Carino** S5
Basis	**Net, monthly linked** S5
Tolerance	**1 bp; reconciled** S5

06 Rates and Credit Context

Wider spreads favor a more balanced quality profile

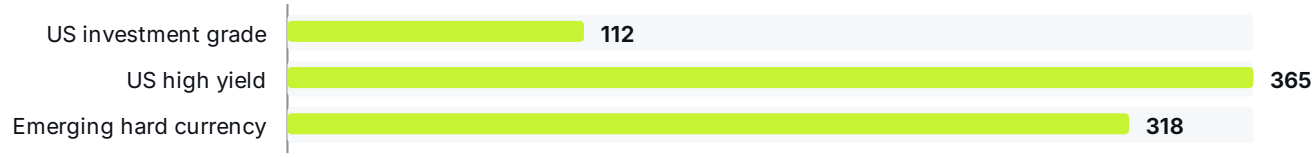
EFFECTIVE DURATION
Not available
Security analytics unavailable S8

SPREAD DURATION
Not available
Security analytics unavailable S8

US IG SPREAD
112 bps
Latest returned context S6

US HY SPREAD
365 bps
Latest returned context S6

CREDIT SPREADS



CREDIT SPREADS

MARKET	LATEST	3-MONTH CHANGE	COVERAGE	SOURCE
US investment grade	112 bps	+9 bps	Complete	S6
US high yield	365 bps	+28 bps	Complete	S6
Emerging hard currency	318 bps	+17 bps	Complete	S6

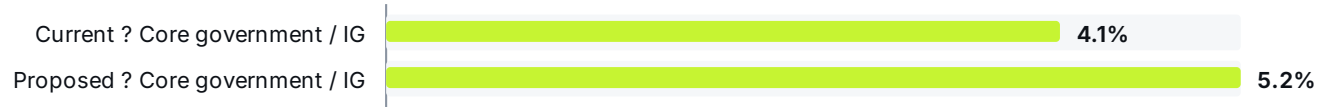
> **Analysis — Spread context is cautionary**
> Observation: All three returned credit spreads widened over three months S6. Why it matters: The context supports caution around concentrated credit exposure. Uncertainty: Spread coverage neither attributes portfolio results nor predicts direction. What would change the view: Refreshed spreads and governed attribution results reversing the concentration tradeoff S5 S6.

Credit spreads are market context only; governed attribution identifies the portfolio's historical effects S5 S6.

07 Forward Return and Risk

Governed assumptions frame tradeoffs rather than forecasts

FORWARD EXPECTED-RETURN COMPARISON



Governed forward assumptions; assumptions, not forecasts S6.

Assumption set	**2026 Strategic CMA** S7
Regime	**Baseline** S7
Horizon	**5 years** S7
Currency	**USD** S7
Context fingerprint	**test-fi-forward-2026** S7

FIXED-INCOME FORWARD ASSUMPTIONS

SEGMENT	EXPECTED RETURN	EXPECTED VOLATILITY
Core government / IG	4.1%	5.2%
Core-plus credit	5.8%	8.1%
Global / emerging debt	6.4%	10.5%

> **Analysis — Risk rises with return**
>
> Observation: Higher-returning fixed-income segments also carry higher expected volatility S7. Why it matters: Reducing core-plus credit gives up some assumed return for lower modeled risk. Uncertainty: The values are assumptions rather than forecasts. What would change the view: A governed assumption refresh that reverses the segment risk-return ordering S7.

These figures are assumptions under the selected context, not forecasts or guarantees S7.

08 Policy Risk, Liquidity and Tradability

LIQUIDITY COMPOSITION



POLICY RISK

METRIC	OBSERVED	LIMIT	STATUS	COVERAGE
Volatility	5.4%	7.0%	Compliant	60 months S3 S5
Maximum drawdown	-8.1%	-12.0%	Compliant	60 months S3 S5
Duration	Not available — security analytics not returned	Not assessed	Not assessed	Unavailable S8

LIQUIDITY PROFILE

BUCKET	% NAV	AMOUNT	REQUIREMENT	STATUS
Daily to weekly	26.9%	$269.0M	At least 20.0%	Compliant
Monthly	1.1%	$11.0M	Monitor	Available

The connector does not return security-level duration, spread duration, yield, convexity or key-rate exposure for this public sample S8.

09 Scenarios and Robustness

GOVERNED SCENARIO RESULTS



Rate and spread shocks are unavailable in the governed review evidence S8.

SUPPORTED SCENARIOS

SCENARIO	RETURN / LOSS	RISK MEASURE	BASIS	SOURCE
Baseline assumptions	4.7% expected return	6.2% volatility	Proposed sleeve	S7
Rate shock	Not available — no governed shock result	Not available	Unavailable	S8
Spread shock	Not available — no governed shock result	Not available	Unavailable	S8

> **Selected-series sandbox — not saved-portfolio analytics**
> Not available — no Strategy Lab return series selected S8.

10 Implementation Plan

IMPLEMENTATION STEPS

PHASE	ACTION	SIZE	FUNDING SOURCE	CONDITION	OWNER
1	Reduce core-plus credit	1.5pp	Internal rebalance	Benchmark and liquidity confirmed	Investment staff
2	Complete remaining shift	1.5pp	Internal rebalance	Transaction-cost review	CIO

ALTERNATIVES CONSIDERED

ALTERNATIVE	BENEFIT	COST / RISK	REASON NOT SELECTED
No change	No turnover	Credit concentration remains	Does not address watch item S3 S4
Full shift immediately	Fast target alignment	Unknown transaction costs	Costs not available S8

- Confirm duration and transition costs before trade instructions S8.
- Recheck policy status after each phase S3.
- Report attribution and credit-spread context at the next review S5 S6.

11 Risks, Open Items and Approvals

DECISION RISKS

PRIORITY	RISK	EVIDENCE	MITIGATION / CONDITION	OWNER
High	Security analytics unavailable	Duration not returned S8	Obtain custodian analytics	Investment staff
Medium	Credit-spread sensitivity	Wider spreads S6	Stage implementation	CIO
Low	Benchmark mismatch	Benchmark confirmed S5	Document benchmark role	Operations

OPEN ITEMS AND APPROVALS

TIMING	ITEM	REQUIRED EVIDENCE	OWNER	STATUS
Before approval	Confirm duration	Security analytics	Investment staff	Open S8
Within 30 days	Transition-cost estimate	Dealer / manager estimate	CIO	Open S8
Next review	Attribution update	Governed return period	Performance team	Open S5

12 Coverage

Portfolio and allocation	**Available**	Illustrative sample data S2
Policy	**Available**	Allocation, risk and liquidity S3
Exposure	**Available**	Fixed-income classifications S4
Returns and attribution	**Available**	Governed evidence S5
Credit context	**Available**	Credit spreads S6
Forward assumptions	**Available**	2026 CMA S7
Security analytics	**Not available**	Duration and transaction costs not returned S8

A Appendix — Sources and methods

Based on 8 of 9 evidence areas.

TAG	EVIDENCE	SOURCE	AS OF	CHECK
S1	Organization and capabilities	list_organizations; get_gradient_capabilities	2026-06-30	Passed
S2	Portfolio and allocation	list_portfolios; get_portfolio_structure	2026-06-30	Passed
S3	Policy assessment	check_portfolio_policy	2026-06-30	Passed
S4	Fixed-income exposure	get_portfolio_exposure	2026-06-30	Passed
S5	Returns and attribution	get_portfolio_historical_returns; get_portfolio_attribution	2026-06-30	Passed
S6	Credit context	get_macro_conditions	2026-06-30	Passed
S7	Forward assumptions	get_capital_market_assumptions	2026-06-15	Passed
S8	Mandate and evidence gaps	get_gradient_capabilities	2026-06-30	Advisory

Illustrative, Gradient Maintained — demo data, not the client's holdings or managers. All organizations, portfolios, managers and results in this public example are illustrative.

SOURCE AUDIT TRAIL

TAG	KEY PARAMETERS	DIGEST
S1	organization=test	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S2	allocation_tree	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S3	portfolio=test	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S4	fixed_income	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S5	all sections	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S6	credit_spreads	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S7	baseline	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S8	illustrative	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa

Data scope for every source: Illustrative sample data. Each digest is the SHA-256 fingerprint of the exact data the report used.

B Appendix — Server Metric Methods and Disclosures

SERVER METRIC METHODS

SOURCE	QUANTITY	METHOD / FORMULA	VERSION	BASIS / UNITS / TOLERANCE
S3	Policy status	Governed assessment	portfolio-policy-v1	Returned status
S5	Returns and attribution	Linked returns; Brinson-Fachler	portfolio-attribution-v1	Net; 1 bp tolerance
S6	Credit spreads	Returned macro conditions	macro-conditions-v1	Basis points
S7	Forward statistics	Expected-statistics chart	chart-contract-v1	5-year assumptions